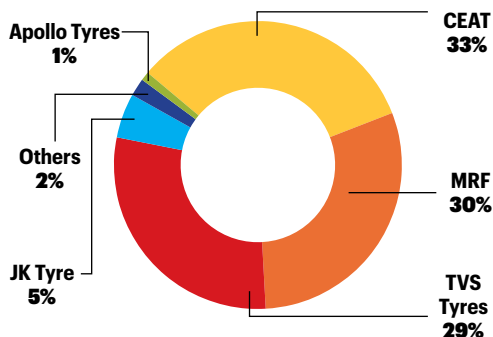


AHEAD OF THE COMPETITION

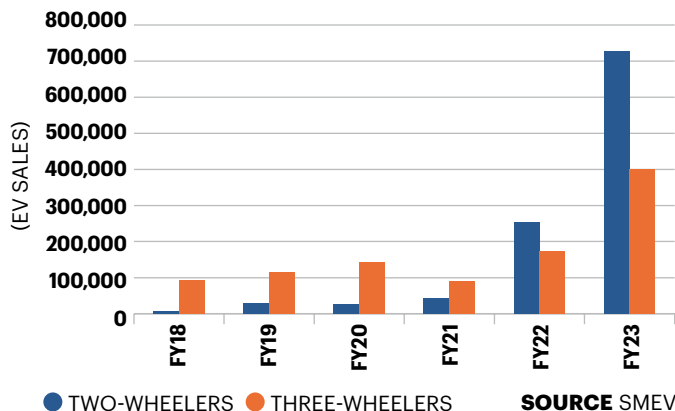
- CEAT leads the market in the two-wheeler category
- Competition in the two-wheeler segment is intensifying, and CEAT must work hard to hold on to pole position



SOURCE INDUSTRY ESTIMATES

GREEN SHOOTS

- EV adoption is gaining speed, thanks primarily to two- and three-wheeler demand; CEAT says it has a 40 per cent market share in the two-wheeler EV segment
- The company aims to leverage its position in the EV tyres space to grow with changing customer preferences



EV tyres have to carry heavier batteries and withstand initial torque, the pattern and grip have to be stronger because the battery is heavy. It should be noiseless as EVs are generally very silent vehicles with no moving parts making the tyre noise more evident. There is range anxiety that has to be reduced by prolonging battery life with low rolling resistance,” he says.

CEAT was an early mover in the EV space, as it rode on the start-up trend. “In the two-wheeler category, we saw a number of start-ups like Ampere, Ather, Okinawa, Ola, etc., crop up and immediately created a new role for that in the organisation. We were very agile in connecting with these start-ups and creating tyres as per their requirements. We were the first to focus on two-wheeler EVs,” he explains. The firm says it has already secured a commanding 40 per cent share in this space.

In the non-EV space, the company has successfully gained market share in the two-wheeler segment, benefitting from a surge in replacement demand over the past four to five months, domestic brokerage Motilal Oswal said in a recent report. “The management has identified the [two-wheelers], passenger car, and OTR (truck/off-road) tyre segments as strategic focus areas, given their ability to boost margin and to lower CEAT’s dependence on the truck segment,” the brokerage said. Revenue contribution from its focus areas has increased significantly over the years—to 62 per cent in FY23 from 20 per cent in FY10—it said. It pegs

the company’s revenue potential at ₹14,000 crore.

The sum of its efforts is visible in CEAT’s top line. It recorded gross sales of ₹11,314 crore in FY23, per ACE Equity, largely driven by price and volume growth. Its profits, meanwhile, have fluctuated. From ₹252 crore in FY19, profits almost doubled to ₹432 crore in FY21. But the very next year, there was a huge decline to ₹71 crore, and then a recovery to ₹186 crore in FY23.

Banerjee points to external factors. “More than 50 per cent of raw material is crude derivatives, and in 2022 there was a sharp inflation in all commodities across the globe. In addition, due to global supply chain disruption post Covid-19, the freight costs rose sharply. While we had partly passed on the increase in input prices to our customers, this happened with a lag.”

He says in FY21 CEAT was the first to resume operations and captured additional market share. “This, combined with softer commodity prices, helped us report good profitability in FY21. The commodity prices have now stabilised, and we do not expect any sharp movements in the short to medium term,” he says.

With India setting a road map for achieving 80 per cent electrification of two-wheelers by 2030, experts say CEAT is ideally placed to benefit.

CASHING IN ON PREMIUMISATION

There are opportunities elsewhere, too. There has been a discernible shift in the Indian automotive in-